TMP
THE MERIDIAN PLAYBOOK

THE GEOPOLITICS OF CAPITAL

De-Dollarisation, Geopolitical Fragmentation, and the Emergence of a Multipolar Financial Order: Implications for Capital Allocation

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THE MERIDIAN PLAYBOOK | 2026

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01. Executive Summary

The global financial order that has governed capital allocation since 1945 is undergoing its most significant structural transformation in eighty years. The post-war Bretton Woods system, and its successor dollar-centric architecture, created an environment in which capital could flow freely, property rights were reliably enforced, and the US dollar served as the uncontested medium of global exchange. That environment is fracturing.

> **The 2022 freezing of $300 billion in Russian central bank reserves was not merely a geopolitical event. It was a demonstration, observed by every sovereign wealth fund and UHNW family office on earth, that the dollarised financial system can be weaponised. The implications for capital allocation are permanent and structural.**

Three forces are reshaping the global capital order simultaneously. First, de-dollarisation: the US dollar's share of global reserves has fallen from 71 percent in 1999 to below 58 percent in 2025, with the trend accelerating. Second, the weaponisation of finance: US sanctions programs have grown from a handful of targeted designations in 2000 to nearly a thousand active programs covering entire economies. Third, multipolarity: the BRICS+ bloc now represents a larger share of global GDP than the G7, creating a genuine alternative institutional architecture for trade, settlement, and finance.

This report provides a rigorous analytical framework for understanding these forces and their specific implications for capital allocation. It is written for UHNW families, family office CIOs, and private banking professionals who need to navigate a world in which the assumptions of the post-Cold War era no longer apply.

Key findings:

•The dollar remains dominant but its dominance is eroding structurally across trade invoicing, reserve allocation, and cross-border payment systems simultaneously.

•Sanctions risk has expanded from a concern for pariah states to a genuine consideration for mid-size economies and their business counterparts, creating new due diligence requirements for international investment.

•Central bank gold purchases have averaged over 1,000 tonnes per year since 2022 — double the pre-2022 pace — representing a coordinated sovereign move away from dollar reserves.

•Friend-shoring and supply chain decoupling are creating structural capital opportunities in allied manufacturing, critical mineral processing, and energy transition infrastructure.

•The optimal UHNW response is not to bet on the dollar's demise, but to diversify systematically across currencies, jurisdictions, custodians, and asset types that are resilient to fragmentation.

Sources: IMF COFER Database 2025; BIS Quarterly Review 2025; World Gold Council 2024; SWIFT RMB Tracker 2025; Caldara & Iacoviello Geopolitical Risk Index 2025.

02. The End of Pax Americana: A New World Order

The post-1945 international order rested on three interconnected pillars: American military supremacy, which guaranteed the security of allied nations and global sea lanes; dollar hegemony, which provided the liquidity infrastructure of world trade and finance; and multilateral institutions — the IMF, World Bank, WTO, and UN Security Council — which provided the rules-based framework for resolving disputes and coordinating policy.

Each of these pillars is under stress simultaneously, and for the first time since the Cold War, viable alternatives are being constructed in parallel. This is not a temporary geopolitical cycle. It is a structural transition in the architecture of global power, comparable in scale to the transition from British to American hegemony between 1914 and 1945.

The Historical Precedent

The British pound sterling was the world's reserve currency for over a century, backed by the gold standard and the economic weight of the British Empire. Its displacement by the US dollar was gradual — spanning three decades — but accelerated by two world wars that exhausted British fiscal capacity and transferred economic dominance westward. The lesson for capital allocators is not that reserve currency transitions are fast, but that they are eventually irreversible, and that portfolios built entirely on the assumptions of the old order suffer catastrophic real losses during the transition.

> **Sterling-denominated investors who remained fully concentrated in British assets through the 1940s and 1950s experienced not a crisis but a slow, invisible impoverishment — watching their purchasing power erode relative to dollar holders over decades. The risk for dollar-concentrated investors today is identical in structure, if different in timing.**

Period	Dominant Currency	Challenger	Trigger	Duration
1400-1600	Venetian Ducat	Spanish Real	New World silver flows	~150 years
1600-1800	Dutch Guilder	British Pound	Industrial Revolution	~100 years
1800-1944	British Pound	US Dollar	World Wars + US growth	~80 years
1944-?	US Dollar	Multi-currency basket?	Geopolitical fragmentation	Ongoing

Sources: Eichengreen, B. (2011), Exorbitant Privilege, Oxford University Press; Kindleberger, C. (1986), The World in Depression, University of California Press; Dalio, R. (2021), Principles for Dealing with the Changing World Order.

03. De-Dollarisation: Myth, Reality, and Timeline

De-dollarisation is simultaneously overhyped in financial media and underappreciated in investment portfolios. The overhyping comes from predictions of imminent dollar collapse that have circulated for decades without materialising. The underappreciation comes from treating the dollar's continued dominance as evidence of its permanent dominance — conflating 'still number one' with 'immune to structural erosion.'

The reality is more nuanced: the dollar remains indisputably the world's dominant reserve and transaction currency, but its dominance is eroding across multiple dimensions simultaneously, and the pace of erosion has accelerated materially since 2022.

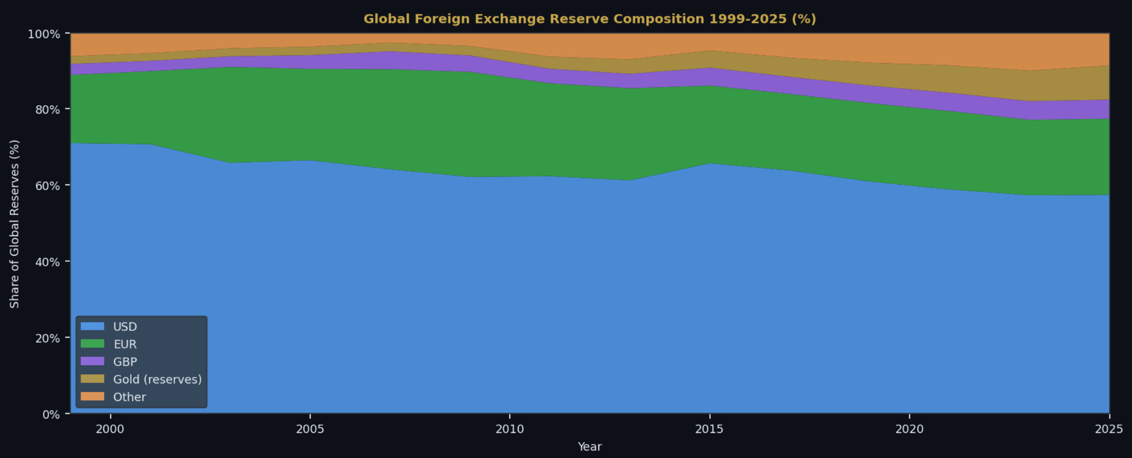

Figure 1: Global foreign exchange reserve composition 1999-2025. USD share has declined from 71% to below 58% over 25 years, while gold's share has risen steadily. Source: IMF COFER Database 2025; World Gold Council; author's estimates.

The Five Dimensions of De-dollarisation

Dimension	2015 Status	2025 Status	Direction	Investment Implication
Reserve Currency	63% of global reserves	57% of global reserves	Declining	Diversify reserve-like assets
Trade Invoicing	~80% of world trade	~54% of world trade	Declining	CNY and EUR exposure increasing
Oil Pricing	100% priced in USD	~85% priced in USD	Slowly eroding	Monitor petrodollar recycling
Debt Issuance	55% of global debt	48% of global debt	Declining	EM local currency bond opportunity

Dimension	2015 Status	2025 Status	Direction	Investment Implication
Cross-border Payments	45% of SWIFT flows	38% of SWIFT flows	Declining	Alternative payment rails emerging
FX Trading	88% of all trades	88% of all trades	Stable (so far)	Dollar liquidity still dominant

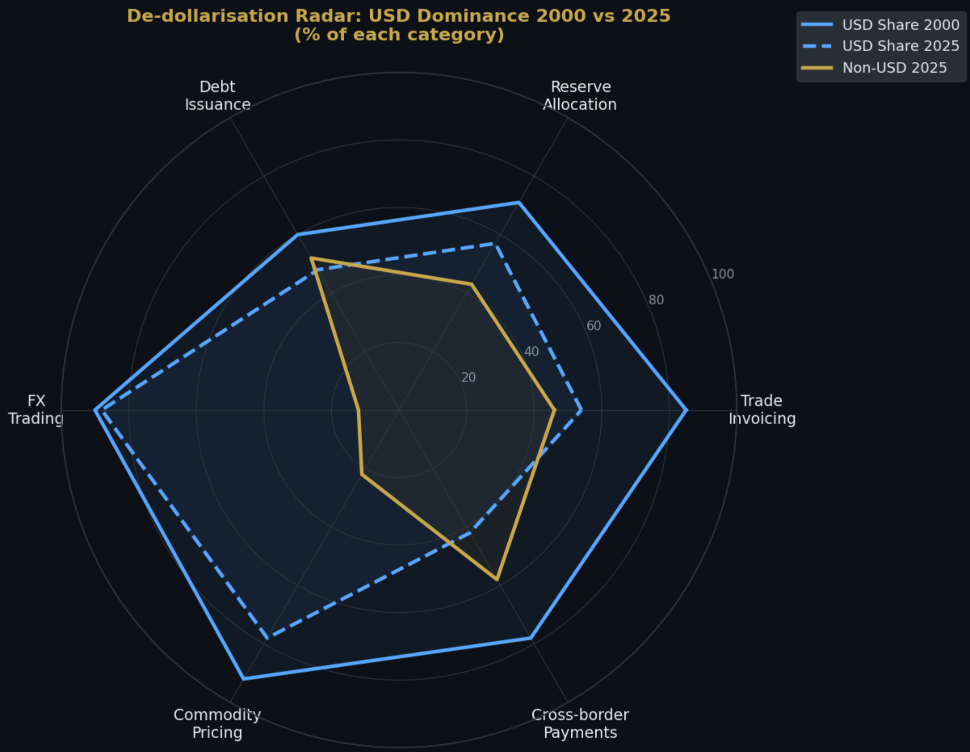

Figure 2: De-dollarisation radar chart comparing USD dominance across six dimensions in 2000 vs 2025. FX trading remains dollar-dominated; cross-border payments and trade invoicing show the most erosion. Source: BIS Triennial Survey 2025; SWIFT data; IMF; author's estimates.

Sources: IMF Annual Report on Exchange Arrangements 2025; BIS Triennial Central Bank Survey of FX Markets 2025; Setser, B. (2024), Tracking the Dollar's Reserve Role, CFR.

04. The Weaponisation of Finance: Sanctions as Policy

Financial sanctions have become the primary instrument of US and Western foreign policy in the post-military intervention era. Their use has expanded from targeted individual designations against drug traffickers and terrorists in the 1990s to broad economy-wide programs affecting entire nations, their financial systems, and any entity that does business with them.

The transformation of sanctions from a surgical tool into an instrument of comprehensive economic warfare was completed in February 2022, when the United States and European Union froze approximately $300 billion in Russian central bank assets held in Western custodians. This single action — unprecedented in its scale and its target (a G20 sovereign) — redefined the risk calculus for every major capital allocator on earth.

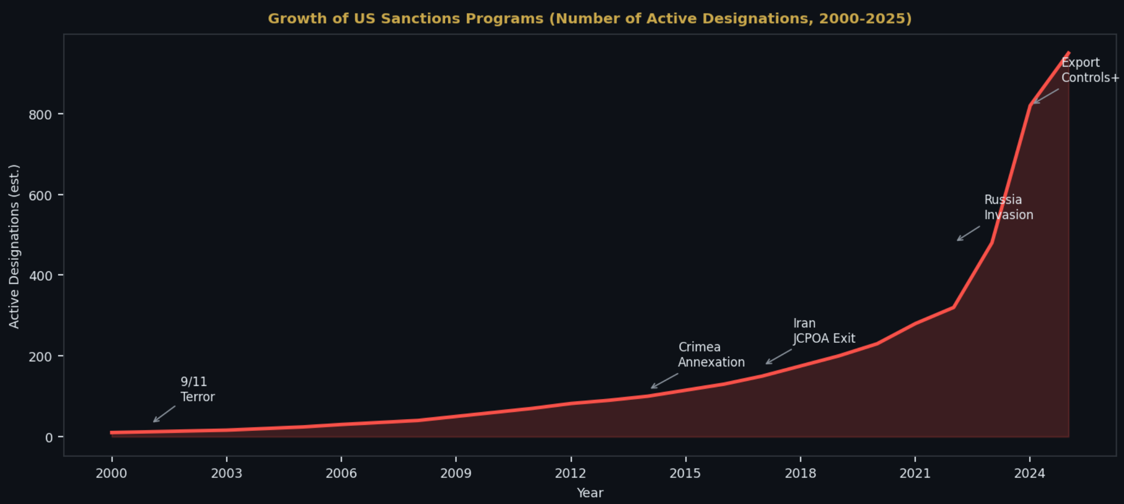

Figure 3: Growth of US sanctions programs (active designations) 2000-2025. The acceleration post-2014 (Crimea) and post-2022 (Russia invasion) reflects the progressive weaponisation of the dollar system. Source: US Treasury OFAC; author's compilation.

The Extraterritoriality Problem

The most significant aspect of US sanctions for international investors is their extraterritorial reach. Secondary sanctions — penalties applied to non-US entities that do business with sanctioned parties — mean that any company anywhere in the world that transacts in US dollars, uses US financial infrastructure, or employs US persons is potentially subject to US sanctions jurisdiction. This creates compliance complexity that extends far beyond the specific targeted countries.

Sanctions Type	Scope	Risk to UHNW	Mitigation
Primary Sanctions	Direct transactions with designated entities / countries	Low — applies to US persons / entities	Standard compliance screening

Sanctions Type	Scope	Risk to UHNW	Mitigation
Secondary Sanctions	Any entity doing business with sanctioned parties	Medium — affects USD transactions globally	Counterparty due diligence; non-USD settlement
Export Controls	Technology transfer to restricted countries	Medium-High — affects tech investments	Investment mandate exclusions for restricted tech
Asset Freeze	Immobilisation of assets in Western custodians	Low currently — but escalation risk	Jurisdictional diversification; physical assets
SWIFT Exclusion	Disconnection from global payment infrastructure	Indirect — systemic risk in extreme scenarios	Alternative payment rails; gold settlement

Sources: US Treasury Office of Foreign Assets Control (OFAC) Annual Report 2024; Nephew, R. (2017), The Art of Sanctions, Columbia University Press; Zarate, J.C. (2013), Treasury's War, PublicAffairs.

05. BRICS+ and the Emerging Multipolar Architecture

The BRICS+ grouping — expanded in 2024 to include Saudi Arabia, the UAE, Iran, Egypt, and Ethiopia in addition to the original Brazil, Russia, India, China, and South Africa — represents the most significant institutional challenge to the Western-dominated financial order since the creation of the Bretton Woods institutions in 1944.

The strategic significance of BRICS+ lies not in its current institutional coherence — which remains limited — but in its trajectory. The group now accounts for a larger share of global GDP (purchasing power parity) than the G7, controls a majority of global energy production, and is home to nearly half the world's population.

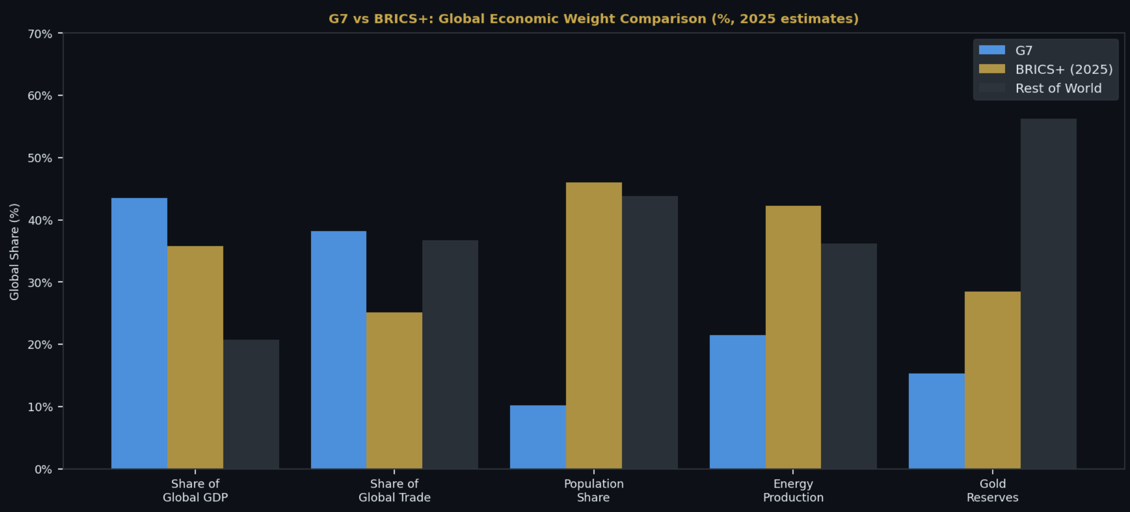

Figure 4: G7 vs BRICS+ economic weight comparison across five dimensions (2025). BRICS+ dominance in population, energy, and gold reserves creates structural leverage in any alternative financial architecture. Source: IMF World Economic Outlook 2025; World Bank; IEA; World Gold Council.

The BRICS Currency Question

The most discussed — and most misunderstood — BRICS initiative is the proposal for a common currency or payment unit. Announced at the 2023 Johannesburg summit, the proposal has generated significant media coverage but faces formidable structural obstacles: the absence of a common monetary authority, divergent inflation rates and fiscal positions across member states, and the fundamental tension between China's desire for RMB internationalisation and other members' reluctance to substitute dollar dependence for yuan dependence.

The more realistic near-term development is a BRICS payment platform that allows bilateral trade settlement in local currencies, bypassing the SWIFT system. This would not replace the dollar but would create a parallel infrastructure for a growing share of global trade, particularly in energy and commodities.

BRICS+ Member	Key Asset / Role	2025 GDP (PPP, USD tn)	Strategic Contribution
China	Manufacturing, tech, RMB internationalisation	$33.0T	Financial infrastructure, investment capital
India	Fastest-growing large economy, tech services	$14.5T	Consumer market, demographic dividend
Russia	Energy (gas, oil), grain, rare earths	$6.5T	Commodity pricing leverage, military
Brazil	Agriculture, iron ore, offshore oil	$4.2T	Food security, critical materials
Saudi Arabia	Oil, sovereign wealth (PIF $700bn+)	$1.8T	Petrodollar pivot, Gulf capital flows
UAE	Trade hub, financial centre, sovereign wealth	$0.9T	Capital flows, neutral jurisdiction
South Africa	Gold, platinum, critical minerals	$0.9T	Mineral resources, Africa gateway

Sources: IMF World Economic Outlook Database 2025; Council on Foreign Relations BRICS Tracker 2025; Pant, H.V. (2023), BRICS and the Challenge to Global Order, Georgetown.

06. Central Bank Gold Accumulation: The Reserve Signal

Central bank gold purchases are among the most analytically significant signals in the current geopolitical environment. Central banks — with their decades-long investment horizons, their access to non-public intelligence, and their explicit mandate to preserve sovereign purchasing power — are allocating to gold at the highest pace in recorded history. This is not sentiment-driven speculation. It is a structural reserve diversification driven by geopolitical risk management.

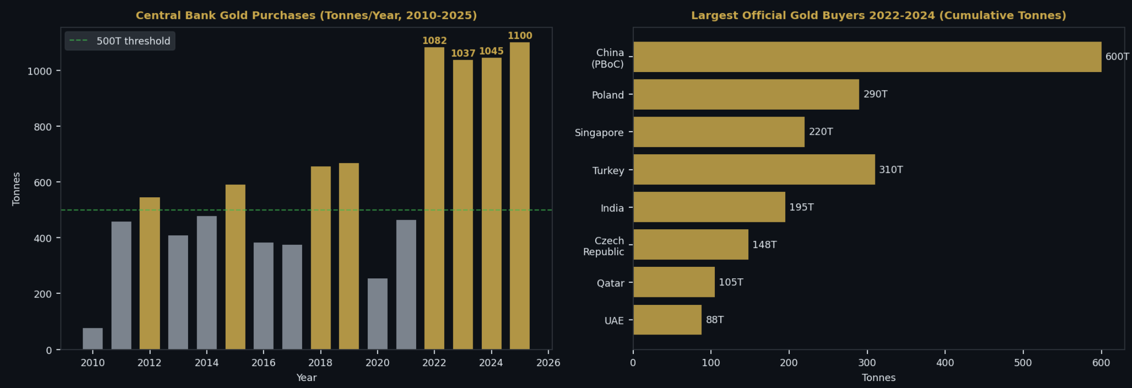

Figure 5 (left): Annual central bank gold purchases 2010-2025 in tonnes. Gold shading indicates years above the 500-tonne threshold. Figure 5 (right): Top official gold buyers cumulative 2022-2024. China, Turkey, Poland, and Singapore lead the diversification. Source: World Gold Council Global Demand Trends 2024; IMF IFS.

The De-Dollarisation Signal Embedded in Gold Buying

The pattern of gold buyers since 2022 is instructive. The largest buyers are predominantly emerging market central banks that hold significant dollar reserves and face elevated sanctions exposure: China, Turkey, India, and several Gulf states. Their gold accumulation is explicitly framed as reserve diversification — reducing concentration in a currency that has demonstrated it can be frozen.

Poland's emergence as a major buyer is particularly notable: a NATO member and Western ally accumulating gold at an extraordinary pace, citing explicitly its desire to hold assets that carry no counterparty risk and cannot be immobilised by any foreign government. When allies behave like this, the geopolitical risk signal is unambiguous.

> **Physical gold held in domestic custody is the only major financial asset that carries zero counterparty risk, cannot be sanctioned, cannot be frozen by a foreign government, and maintains its purchasing power across currency regimes. These properties, irrelevant in the globalisation era, have become strategically valuable in the fragmentation era.**

Sources: World Gold Council Central Banks and Gold 2024; National Bank of Poland Annual Report 2024; People's Bank of China Reserves Data 2024.

07. Capital Flows in a Fragmented World

The globalisation era was characterised by the free movement of capital across borders in pursuit of risk-adjusted returns. Capital flows were predominantly driven by fundamentals: interest rate differentials, growth prospects, and asset valuations. Geopolitical alignment was at most a secondary consideration.

That calculus has changed. Capital flows are increasingly shaped by geopolitical alignment, sanctions exposure, and the risk of financial system weaponisation. The result is a gradual bifurcation of global capital markets into connected but increasingly distinct spheres: a Western sphere centred on USD/EUR assets and a non-Western sphere developing its own financial infrastructure.

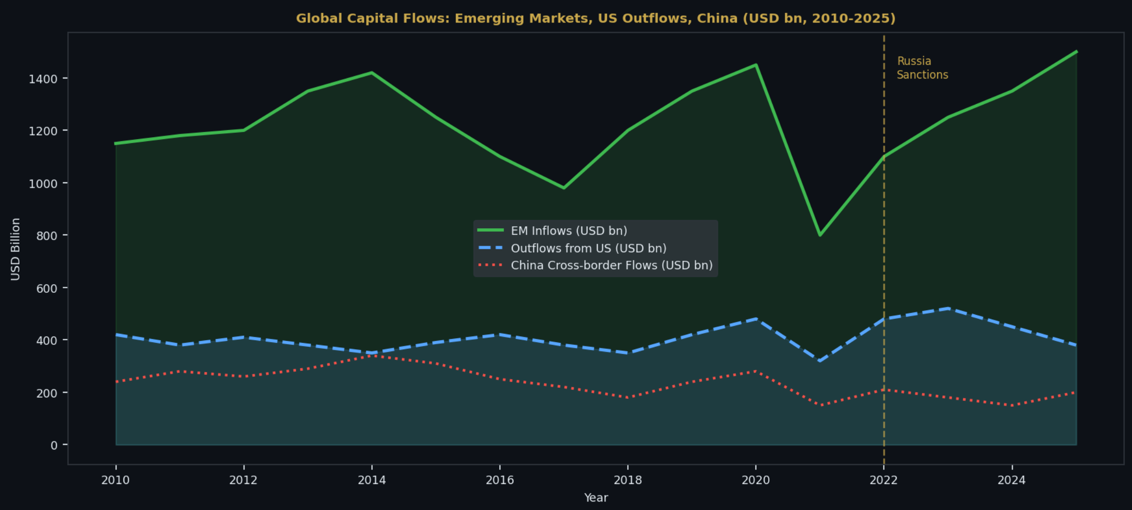

Figure 6: Global capital flows — emerging market inflows, US outflows, and China cross-border flows (USD bn, 2010-2025). The 2022 inflection point following Russia sanctions is visible across all three series. Source: IIF Capital Flows Tracker 2025; UNCTAD World Investment Report 2025; State Administration of Foreign Exchange (SAFE) China.

The Neutral Corridor: Capital Flows to Non-Aligned Financial Centres

The fragmentation of the global financial order has created a significant opportunity for jurisdictions that position themselves as neutral conduits for capital that wants to remain outside both the Western and non-Western blocs. Singapore, the UAE (particularly Dubai and Abu Dhabi), Saudi Arabia, and Switzerland are the primary beneficiaries of this dynamic.

Singapore has seen family office registrations more than triple since 2020, driven by Asian and global UHNW families seeking a jurisdiction with political neutrality, strong rule of law, and proximity to the Asian economic growth story. The UAE has simultaneously attracted a wave of capital from Russian, Indian, and Middle Eastern families seeking a liquid, internationally connected financial centre outside Western jurisdiction.

Jurisdiction	Positioning	AUM Growth 2020-25	Key Advantage
Singapore	Asian neutral hub, strong rule of law	+280% family office registrations	ASEAN access, MAS credibility, SGD appreciation

Jurisdiction	Positioning	AUM Growth 2020-25	Key Advantage
UAE / Dubai	Global neutral hub, zero capital gains tax	+180% HNWI inflows	Gulf capital, India/Russia/Africa nexus
Switzerland	Historic Western neutral, CHF stability	+12% AUM (steady)	CHF reserve currency, banking secrecy residual, neutrality
Luxembourg	EU financial centre, fund domicile	+8% AUM	EU passport, fund structures, stability
Cayman Islands	Offshore structures, fund vehicles	Stable	Legal structures, zero direct tax, US law familiarity

Sources: Monetary Authority of Singapore Family Office Statistics 2025; Dubai International Financial Centre Annual Report 2024; Swiss Bankers Association 2025.

08. The Friend-Shoring Revolution and Supply Chain Capital

Friend-shoring — the deliberate restructuring of supply chains away from geopolitically adversarial nations toward allied or neutral trading partners — is one of the largest capital reallocation events in post-war economic history. Estimates from the IMF and McKinsey suggest that the full replication of current trade relationships within friend-shored supply chains would require $4 to $5 trillion in investment over the next decade.

For investors, friend-shoring creates distinct structural opportunities: industrial facilities, logistics infrastructure, energy capacity, and critical mineral processing in beneficiary nations will require private capital at scale. Nations like Vietnam, Mexico, India, Poland, and Morocco are emerging as the primary beneficiaries.

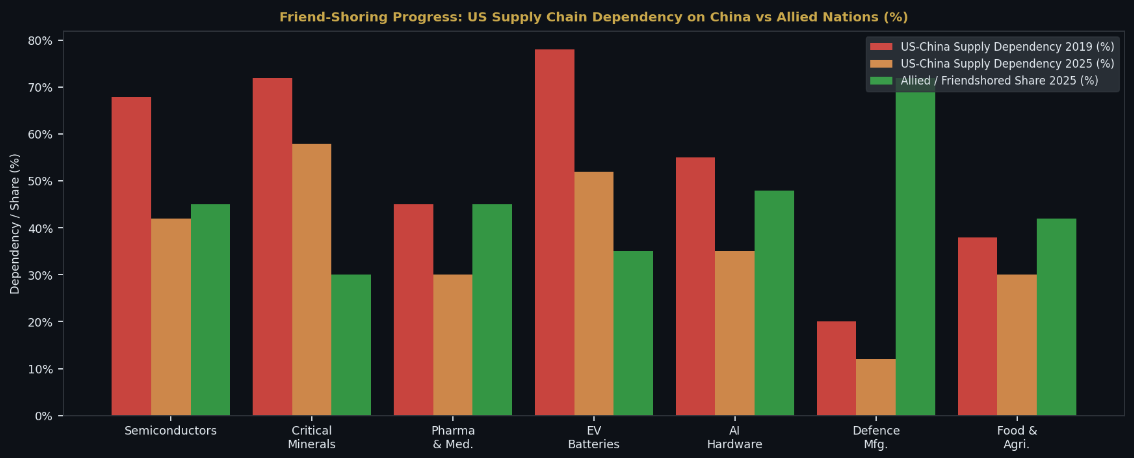

Figure 7: US supply chain dependency on China vs allied/friend-shored sources across seven critical sectors (2019 vs 2025). Progress is real but incomplete — semiconductors and EV batteries remain significantly concentrated. Source: Reshoring Initiative; McKinsey Global Institute 2025; White House Supply Chain Resilience Reports.

Critical Minerals: The New Strategic Commodity

The friend-shoring imperative is most acute in critical minerals — the rare earths, lithium, cobalt, nickel, and copper that underpin the energy transition and digital economy. China currently controls 60 to 85 percent of the processing capacity for most critical minerals, even for materials physically extracted in allied nations.

This creates a structural investment opportunity in mineral processing capacity in Western-aligned jurisdictions: Canada, Australia, the EU, and select African nations with favorable investment frameworks. Private equity and infrastructure funds focused on this theme have raised over $50 billion since 2022, with committed government co-investment from the US Inflation Reduction Act and EU Critical Raw Materials Act.

Beneficiary Nation	Primary Sector	Investment Driver	Risk Level
Mexico	Auto / EV manufacturing, nearshoring	US IRA, proximity to US market	Low-Medium
Vietnam	Electronics, textiles, consumer goods	China+1 diversification	Low-Medium
India	Semiconductors, pharma, IT services	Scale, English, demographics	Medium
Poland	Defence, industrial, EU supply chains	EU funds, NATO security	Low
Morocco	EV batteries, phosphates, renewable energy	EU proximity, mineral wealth	Medium
Indonesia	Nickel, EV batteries, digital economy	Critical mineral reserves	Medium
Saudi Arabia	Energy transition, tech, logistics	Vision 2030, sovereign capital	Low-Medium

Sources: McKinsey Global Institute, Geopolitics and the Geometry of Global Trade 2024; IMF, Geoeconomic Fragmentation and the Future of Multilateralism 2024; IEA Critical Minerals Market Review 2024.

09. Currency Settlements and the RMB Challenge

The internationalisation of the Chinese renminbi (RMB) is the most closely watched development in the de-dollarisation narrative. China has pursued RMB internationalisation through a combination of bilateral swap agreements, offshore RMB market development in Hong Kong and Singapore, RMB-denominated commodity contracts, and the Cross-Border Interbank Payment System (CIPS) as a SWIFT alternative.

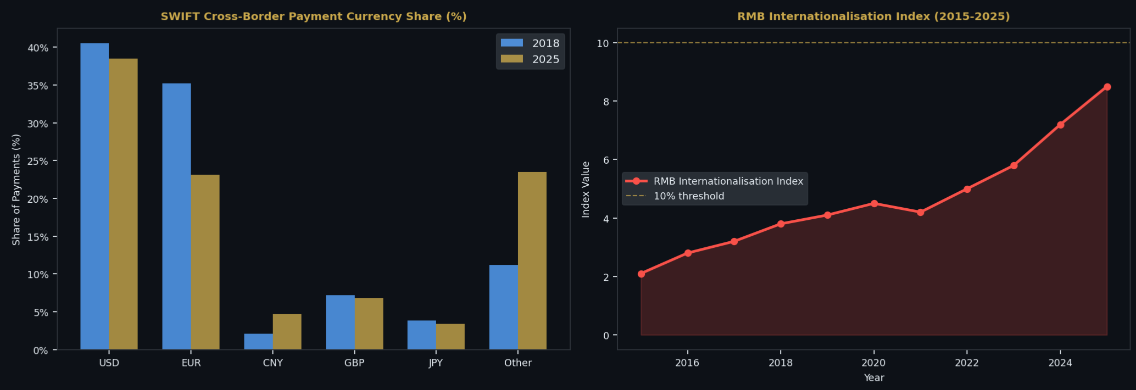

Figure 8 (left): SWIFT cross-border payment currency shares 2018 vs 2025. RMB has more than doubled its share while EUR has declined significantly. Figure 8 (right): RMB Internationalisation Index 2015-2025, showing accelerating adoption. Source: SWIFT RMB Tracker 2025; People's Bank of China RMB Internationalisation Report 2025.

Structural Constraints on RMB Internationalisation

Despite progress, the RMB faces structural constraints that prevent it from displacing the dollar in the foreseeable future. First, capital account convertibility: China maintains significant controls on capital flows, limiting the ability of foreign entities to hold, invest, and repatriate RMB freely. Second, depth of financial markets: China's bond and equity markets, while large, lack the depth, transparency, and legal certainty of US markets. Third, rule of law: foreign investors remain uncertain about the enforceability of property rights and contract obligations under Chinese jurisdiction.

The realistic trajectory is not RMB replacing the dollar, but a gradual multi-currency world in which RMB, EUR, and possibly a BRICS settlement unit each handle significant regional shares of trade and finance, with the dollar retaining primacy in global capital markets while losing its monopoly on bilateral trade.

RMB Internationalisation Driver	Status	Timeline	Dollar Impact
CIPS Payment System	Operational, 100+ countries	Now	Reduces SWIFT dependency for select flows
Petro-RMB Contracts	Shanghai crude futures active	Gradual	Oil pricing diversification — modest

RMB Internationalisation Driver	Status	Timeline	Dollar Impact
Digital RMB (e-CNY)	Domestic rollout, pilot cross-border	5-10Y	Payment rail diversification — significant
Capital Account Opening	Gradual, selective	Decade+	Key constraint — limits reserve status
Belt & Road Settlement	Active — $1T+ in RMB loans	Ongoing	EM trade flows increasingly RMB-settled
BRICS Settlement Platform	Proposed — in design phase	5-7 years	Potential for significant intra-BRICS shift

Sources: People's Bank of China RMB Internationalisation Report 2025; SWIFT Watch 2025; BIS Papers on the Internationalisation of the RMB 2024; Council on Foreign Relations Renminbi Tracker.

10. Geopolitical Risk Pricing in Financial Markets

Financial markets have historically been slow to price geopolitical risk. The assumption of mean-reversion — that crises pass and normality returns — has generally served investors well in the post-Cold War era. That assumption is dangerous in structural transitions, where the new equilibrium is categorically different from the old one.

The academic literature on geopolitical risk pricing has expanded dramatically since 2022. Caldara and Iacoviello's Geopolitical Risk (GPR) index, derived from newspaper text analysis, shows that the current period represents the third-highest sustained geopolitical risk environment since 1900, exceeded only by the two World Wars. Markets have partially priced this, but the full structural implications for asset allocation remain significantly underweighted.

Asset Class	Traditional Risk Framework	Geopolitical Adjustment Needed	Direction
US Treasuries	Risk-free, ultimate safe haven	Sanction risk to foreign holders; dollar debasement exposure	Reduce concentration
Emerging Market Debt	Credit risk, FX risk	Add geopolitical alignment risk; sanction exposure screening	Tilt to aligned EMs
Global Equities	Market + sector risk	Add supply chain dependency risk; tech decoupling exposure	Screen for geopolitical exposure
Real Estate	Location, tenant, financing risk	Add jurisdictional risk; political expropriation tail risk	Diversify jurisdictions
Private Equity	Operational + liquidity risk	Add supply chain + export control risk for tech/semiconductor	Avoid restricted tech
Gold	Opportunity cost vs bonds	Upgrade role: geopolitical insurance, not just inflation hedge	Increase allocation
Infrastructure	Regulatory + political risk	Add strategic asset risk (energy infra increasingly political)	Prioritise allied nations

Sources: Caldara, D. & Iacoviello, M. (2022), Measuring Geopolitical Risk, American Economic Review; BlackRock Geopolitical Risk Dashboard 2025; Eurasia Group Top Risks Report 2025.

11. Safe Haven Assets: Rethinking the Framework

The traditional safe haven framework — US Treasuries, the Swiss franc, the Japanese yen, and gold — was built on the assumptions of the unipolar era. In that framework, the dollar was the safe haven currency precisely because the US was the unipolar guarantor of global order. In a multipolar world, that framework requires reexamination.

Asset	Traditional Safe Haven Case	Geopolitical Era Assessment	Score (1-10)
US Treasuries	Risk-free, most liquid market, dollar reserve	Sanction risk to non-US sovereign holders; dollar debasement; fiscal sustainability concerns	6/10 (reduced from 9/10)
Swiss Franc (CHF)	Political neutrality, current account surplus, SNB credibility	Neutrality maintained; Switzerland faces pressure on financial neutrality but law intact	8/10 (stable)
Japanese Yen (JPY)	Current account surplus, low inflation history, safe haven flows	Fiscal sustainability concerns; BOJ yield curve control distortions	6/10 (reduced)
Physical Gold	No counterparty risk, millennia of store of value	Enhanced — zero sanction risk, central bank demand, de-dollarisation beneficiary	9/10 (upgraded)
Singapore Dollar (SGD)	MAS credibility, trade surplus, political stability	Neutral jurisdiction increasingly valued; appreciating monetary policy	8/10 (upgraded)
Bitcoin / Digital Assets	Censorship-resistant, borderless	Volatility precludes safe haven status; regulatory risk significant	3/10 (speculative)

> **The key insight for the geopolitical era: safe haven status now requires not only financial stability but also geopolitical neutrality and the absence of counterparty risk. Physical gold held in domestic or neutral-jurisdiction custody is the only asset that satisfies all three criteria simultaneously.**

Sources: Ito, T. & McCauley, R. (2019), A key currency view of global imbalances, BIS Working Papers; Brunnermeier, M. et al. (2021), The Danger of Safe Asset Scarcity, Journal of Finance; World Gold Council.

12. The UHNW Portfolio in a Multipolar World

The structural changes described in this report have direct and actionable implications for UHNW portfolio construction. The core adjustment is not a dramatic reallocation — it is a systematic de-risking of geopolitical concentration that most portfolios carry implicitly, combined with deliberate exposure to the structural winners of the fragmentation era.

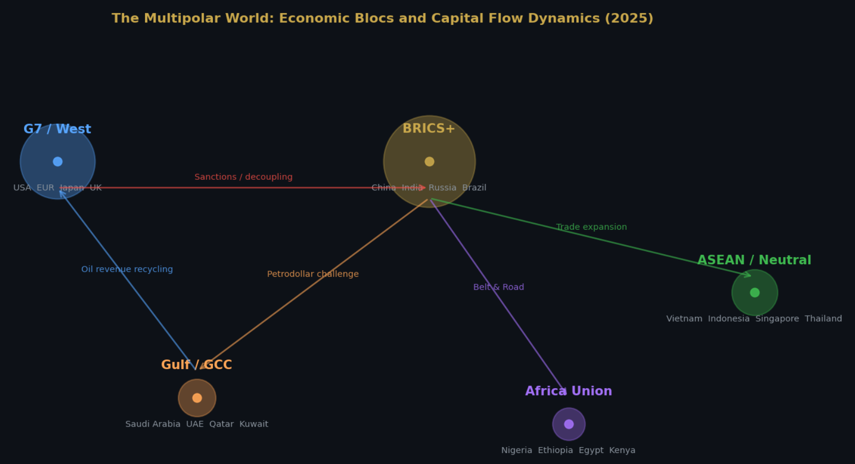

Figure 9: The multipolar world — economic blocs and capital flow dynamics (2025). Bubble size represents approximate GDP (PPP). Arrows indicate key capital flows and geopolitical tensions. Source: Author's framework.

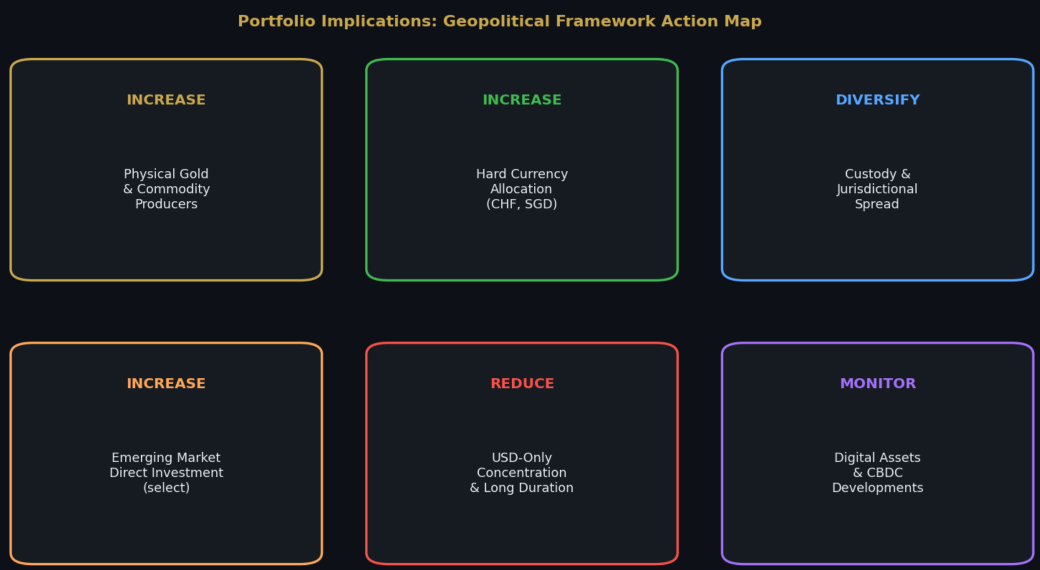

Figure 10: Portfolio action map — six key adjustments for the geopolitical era. Source: Author's framework.

The Geopolitical Portfolio Adjustment Matrix

Portfolio Dimension	Typical Current State	Geopolitically Adjusted Target
Currency	70-80% USD/EUR	50-60% USD/EUR + 10-15% CHF/SGD + 5-10% gold equiv.
Custody	1-2 custodians, single jurisdiction	3-4 custodians across 2-3 jurisdictions (US, CH, SG)
Gold Allocation	0-3%	5-10% (physical + allocated storage in neutral jurisdiction)
EM Exposure	Broad EM index — no alignment filter	Allied / neutral EM tilt; avoid sanctioned economy exposure
Private Equity	No geopolitical screening	Exclude restricted tech sectors; tilt to friend-shoring beneficiaries
Real Assets	Domestic / US-centric	Diversify into neutral-jurisdiction infrastructure and real estate
Liquid Alts	Long-only, market beta	Add macro / commodity strategies with geopolitical alpha
Fixed Income	Predominantly USD government + IG	Add TIPS, EM local currency (allied), short duration globally

Sources: J.P. Morgan Private Bank Geopolitical Portfolio Framework 2025; BlackRock Geopolitical Risk Premia Model 2025; author's synthesis.

13. Jurisdictional and Custodial Strategy

Jurisdictional strategy — the deliberate structuring of where assets are held, where entities are domiciled, and where custodians are located — is emerging as a core competence of the UHNW family office in the geopolitical era. This is not about tax evasion or secrecy. It is about ensuring that no single geopolitical event, sanctions program, or regulatory action can impair the family's ability to access and deploy its capital.

Jurisdiction	Function	Advantage	Risk
United States	Core investment market, USD liquidity	Deepest capital markets, rule of law	Sanctions extraterritoriality, political risk
Switzerland	Core custody, banking, holding structures	Neutrality, CHF, SNB credibility, banking infrastructure	EU pressure on banking secrecy; FATF compliance
Singapore	Asian hub, family office domicile, SGD	MAS credibility, neutrality, ASEAN access, tax efficient	US-China tension forcing side-taking pressure
Luxembourg	EU fund domicile, fixed income, insurance	EU passport, stable, deep fund infrastructure	EU regulation increasing, modest geopolitical risk
UAE (ADGM/DIFC)	Middle East / Africa hub, neutral flows	Tax efficiency, Gulf capital access, neutrality	Regional instability; US sanctions compliance pressure
Cayman Islands	Fund vehicles, offshore structures	Legal flexibility, US law familiarity, zero direct tax	Reputational risk, OECD BEPS pressure

Custodial Diversification Best Practices

The Russian sanctions demonstrated that assets held entirely within Western custodial systems are subject to Western government discretion. The appropriate response is not to exit Western custodians — which would create its own risks — but to diversify custody across jurisdictions so that no single political event can freeze the entire portfolio.

Best practice for a $20M+ family office involves at minimum: a primary custodian in the US or EU for core liquid assets; a secondary custodian in Switzerland for wealth preservation and CHF assets; a tertiary custodian in Singapore for Asian exposure; and direct custody of physical gold in at least one neutral-jurisdiction vault.

Sources: Campden Wealth Jurisdictional Strategy Survey 2024; KPMG Family Office Jurisdictional Guide 2025; Deloitte Global Wealth Management Regulatory Outlook 2025.

14. Implications for Private Banking Professionals

The geopolitical transformation of the capital order creates a specific advisory opportunity for private bankers who can navigate it with analytical depth and practical knowledge. Most UHNW clients feel the unease of the current environment — they read about de-dollarisation, sanctions, and BRICS in the Financial Times — but lack the framework to act on it without appearing either paranoid or reckless.

> **The private banker who can sit with a client, map their geopolitical exposure, explain the structural forces at work, and propose specific adjustments — jurisdictional diversification, gold allocation, custodial strategy — is providing a service that no algorithm, robo-advisor, or product-focused competitor can replicate. This is the highest-value advisory conversation in the current market.**

The Geopolitical Advisory Conversation: A Framework

A structured approach to the geopolitical conversation with a UHNW client follows six steps. First, map the current geopolitical exposure: where are assets custodied, in which currencies, in which jurisdictions? Second, stress-test against specific scenarios: what happens to this portfolio if the US freezes assets of nationals from Country X? If SWIFT is weaponised against a key trading partner? Third, identify the concentration risks: single currency, single custodian, single jurisdiction exposure. Fourth, propose specific adjustments: gold allocation, custodial diversification, currency diversification. Fifth, implement systematically over 12 to 24 months. Sixth, monitor and update as the geopolitical landscape evolves.

Knowledge Requirements for Geopolitical Advisory

Knowledge Domain	Why It Matters	Key Sources
Sanctions Law & OFAC	Understanding what clients can and cannot do internationally	OFAC guidance; Davis Polk sanctions primers
Reserve Currency History	Historical precedent for transitions and portfolio implications	Eichengreen; Dalio (2021); BIS historical papers
BRICS+ Architecture	Understanding the institutional alternatives being built	Council on Foreign Relations; Chatham House; IMF
Central Bank Policy	Reading sovereign reserve allocation as an investment signal	World Gold Council; IMF COFER; BIS quarterly
Jurisdictional Law	Understanding custodial frameworks and legal protection across jurisdictions	KPMG / Deloitte jurisdictional guides; local counsel

Knowledge Domain	Why It Matters	Key Sources
Commodity Markets	Friend-shoring creates commodity and infrastructure opportunities	IEA; McKinsey Global Institute; Preqin

Sources: CFA Institute Geopolitics and Investing Series 2025; Chatham House International Finance Programme 2025; Eurasia Group Global Macro Research 2025.

15. Conclusion: Navigating the New Capital Order

The geopolitics of capital is not a temporary disruption to be waited out. It is a structural transition in the architecture of global finance that will define the investment environment for the next twenty to thirty years. The unipolar dollar order is not collapsing — it is evolving into something more complex, more fragmented, and more geopolitically contingent.

For UHNW families and their advisors, the appropriate response is neither panic nor complacency. It is the systematic application of a geopolitical lens to portfolio construction — identifying implicit concentrations, diversifying across currencies and jurisdictions, building physical asset positions that are resilient to financial system weaponisation, and positioning for the structural opportunities that fragmentation creates.

> **The families that will navigate the next thirty years successfully are not those that predict the exact outcome of the geopolitical transition — nobody can. They are the families that build portfolios resilient to multiple outcomes: robust to dollar dominance continuing, robust to dollar erosion accelerating, and robust to the fragmentation scenarios in between.**

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